

Out-of-sample summary -- recursive Campbell–Thompson R^2 by phase

Phase	Specification	In-sample R^2 (mean)	OOS R^2 (pooled)	Markets OOS+
I -- local	$rx \sim CF$	0.254	-0.073	2/11
II -- global	$rx \sim GCF$	0.254	0.048	10/11
III -- USD, global	$rx_USD \sim GCF$	0.086	-0.070	2/11
III -- USD, FX-adj.	$rx_USD \sim FXGCF$	0.143	0.021	6/11

In-sample R^2 is the cross-country mean of the single-factor fits (Eq 18, 20, 22, 23). OOS R^2 is the pooled Campbell–Thompson (2008) R^2 of the fully-recursive factor forecast against the recursive prevailing mean (Eq meth-ctr2); 'Markets OOS+' counts markets with positive OOS R^2 . The factor and the forecasting regression both respect time t (doubly out-of-sample). Detail in Ch.8.